

# **Real Estate Appraisal**



**Brian Ward**

State of California Certified Residential Real Estate Appraiser

## DESKTOP APPRAISAL REPORT

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### Subject Property



San Diego, CA 92111

Photo redacted for confidentiality

Appraised Value

**\$1,450,000**

Effective Date of Value

**June 24, 2026**

Prepared For



Prepared By

**Brian A. Ward**

State of California Certified Residential Real Estate Appraiser

*Report Date: August 27, 2026*

| Desktop Appraisal of [REDACTED]                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|
| Appraised Value: \$1,450,000 as of 06/24/2026                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                              |
| <b>Client:</b>                                                                                                                                                                                                                                                                                                                                                                                                               | <b>Address:</b>                                                                                                              |
| [REDACTED]                                                                                                                                                                                                                                                                                                                                                                                                                   | [REDACTED]<br>San Diego, CA 92111<br>San Diego<br>Lat, Long: [REDACTED]                                                      |
| <b>Appraisal Purpose &amp; Intended Use:</b>                                                                                                                                                                                                                                                                                                                                                                                 | <b>Zoning / Current Use:</b>                                                                                                 |
| Estate settlement (retrospective date-of-death valuation)                                                                                                                                                                                                                                                                                                                                                                    | RS-1-7 (Residential Single-Unit); Current use: Single Family Residence (source: Realist public record, generated 08/26/2026) |
| <b>Appraisal Effective Date:</b>                                                                                                                                                                                                                                                                                                                                                                                             | <b>Census Tract:</b>                                                                                                         |
| 06/24/2026                                                                                                                                                                                                                                                                                                                                                                                                                   | 85.12 (source: U.S. Census Bureau geocoder; the Realist record does not report a census tract)                               |
| <b>Tax-ID / Parcel Number &amp; Legal Description:</b>                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                              |
| APN: [REDACTED]                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                              |
| The fee for this appraisal was \$427.00. The fee was not contingent on any appraisal results and was collected prior to the completion of the appraisal.                                                                                                                                                                                                                                                                     |                                                                                                                              |
| Based on the defined Scope of Work, Statement of Assumptions and Limiting Conditions, Appraiser's Certifications, and any stated hypothetical conditions and extraordinary assumptions, my Opinion of the Market Value (or other specified value type), as defined herein, of the real property that is the subject property of this report is: \$1,450,000 as of 06/24/2026, which is the effective date of this appraisal. |                                                                                                                              |
| Date of Report (Signature): 08/27/2026                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                              |

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## Appraisal Type

This is a DESKTOP APPRAISAL where neither the subject property nor the comparable sales, nor the neighborhood, were observed specifically for this appraisal. To complete the appraisal, I make the extraordinary assumption that the condition, quality, and features described in the analysis are accurate and complete. Reliance on information obtained from the client, the local multiple listing service, online resources, and other industry data services that I have not personally verified is an industry-accepted approach for this appraisal type. Apart from the lack of first-hand knowledge and independent verification of the property as described, this appraisal was prepared with the same degree of research and analysis as more common mortgage lender appraisals. If the extraordinary assumptions are inaccurate or incomplete, the appraisal may be different.

## Appraisal Conditions

Appraisal conditions are requirements that must be met for the appraised value stated in this report to be valid. They are actions that must actually be performed — repairs, corrections, or verifications by appropriately licensed professionals — and the appraised value is developed subject to their completion. There are no appraisal conditions for this assignment.

- None

## Property Description

### Site

The subject property is a single-family residence located at [REDACTED] San Diego, California 92111, in the Clairemont ("Mount Streets") neighborhood of San Diego. The subject property is a one-story residence with 3 bedrooms and 3 full bathrooms, a gross living area of 2,108 square feet, and a site of 9,700 square feet (0.2227 acres). The residence was built in 1960 on Lot 1314 of Tract 3970. Zoning is RS-1-7 (Residential Single-Unit) per the Realist public record, and the subject property is within the San Diego Unified School District. The public record notes a Good location influence.

The site is a corner lot at the terminus of the [REDACTED] which ends in a cul-de-sac bulb at the subject property; it is not a through street. The rear of the site adjoins a natural brush canyon, and a canyon outlook over open space toward the surrounding neighborhood is depicted from the rear yard - a beneficial external influence for both privacy and outlook. The front yard is raised above the sidewalk behind curved segmented-block retaining walls and is finished in low-maintenance decorative rock with mature sago palms and drought-tolerant plantings. Parking consists of an attached garage with two parking spaces per the public record, a concrete driveway at the front, and a second, gated concrete driveway on the cul-de-sac side leading to a rear parking area with a large metal-frame canopy providing covered recreational-vehicle parking. Site improvements also include extensive brick-accented concrete flatwork along the side and rear of the residence, white vinyl privacy fencing with lattice top, chain-link fencing along the canyon rim, two resin storage sheds, an automatic irrigation controller, and a citrus tree in the side yard. The rear yard ground cover is bare soil with block-ringed planting beds; no lawn is depicted.

This is a Desktop Appraisal; no physical inspection of the subject property was performed. The description of the subject property's condition, quality, and features is based entirely on 23 photographs supplied by the client on 07/31/2026, together with the Realist public record and information provided by the client. I make the extraordinary assumption that the supplied photographs accurately and completely depict the condition, quality, and features of the subject property as of the effective date of the appraisal. If the supplied photographs do not accurately or completely depict the subject property, the appraisal may be different.

This is a retrospective Desktop Appraisal where the photographs and information used to describe the subject property were supplied after the effective date. To complete this appraisal I must make the extraordinary assumption that the condition, quality, and features were the same on the effective date as they are depicted in the supplied photographs and information. If the condition, quality, and/or features were different on the effective date, the appraisal may be different.

### Quality

The overall quality of the subject property is Good, with a range from Average to Good based on the finishes and construction depicted in the client-supplied photographs. The residence is standard tract construction of its era that has been maintained and selectively updated with standard, off-the-shelf materials rather than above-standard or semi-custom materials; I rate the renovated and updated home as a whole, and on that whole-home basis the subject property reaches the Good tier, with the original-era secondary finishes holding the lower end of the range.

The kitchen has been updated beyond its 1960 origins and carries the high end of the range: raised-panel light-finish cabinetry, speckled stone-style slab countertops, recessed lighting, a stainless steel five-burner gas range with matching stainless steel hood, a stainless steel microwave, and a stainless steel side-by-side refrigerator, over diagonal-set tile flooring that continues through the adjoining breakfast area and interior hallway. These are attractive, standard-grade materials - stock-style cabinetry, entry-level stone-style counters without a full-height slab backsplash, and ordinary free-standing appliances - that carry the kitchen to the Good end of the range without reaching a semi-custom tier. The formal living room and dining room occupy a wing with vaulted ceilings, sliding-glass patio access, and wall-to-wall carpet, and the floor plan also provides a separate family room and a den; the den features a floor-to-ceiling natural rock masonry fireplace with a raised hearth and a painted wood mantel, a distinctive architectural feature of the home. Stacked firewood at the rear door and the masonry chimney indicate wood-burning use. The breakfast area retains the original painted built-in hutch and buffet cabinetry with textured-glass uppers and a laminate counter, and the family room, den, and breakfast area have acoustic-textured ceilings, reflecting the original-era portion of the finish package.

The photographed bathrooms mix updated and original-era elements. The hall bathroom has a painted vanity and full-height linen cabinet with updated black hardware, a marble-pattern vanity top, an updated brushed-nickel faucet, a newer-appearing two-piece toilet, and a tub/shower concealed by a curtain; its flooring is an older sheet vinyl with a printed tile pattern, a dated original-era material. A second photographed bathroom has a painted vanity with a laminate-appearing terracotta-red counter, a drop-in porcelain sink, a newer-appearing toilet, and tile flooring matching the hallway tile. The third full bathroom of record is not depicted in the supplied photographs. The primary bedroom is finished with interior plantation shutters and a glazed French door with a decorative security grille opening to the side patio; bedrooms have ceiling fans. Exterior quality is standard for the tract: stucco and painted wood siding, a composition shingle roof, and white-framed sliding windows.

Mechanically and structurally, the subject property carries meaningful recent investment: the client reported that the roof, including the plywood sheathing, was replaced in 2025, and the roof covering depicted is uniform and new-appearing; a roof-mounted solar photovoltaic array and a Tesla Powerwall home battery are depicted; and the client reported an electrical panel upgrade with stack, partially supported by the new-appearing conduit and disconnect equipment photographed at the battery location. The client also reported a new whole-house fan, consistent with a ceiling grille depicted at the hallway; the equipment itself is not visible in the photographs. Wall-mounted supply registers consistent with a ducted heating system are depicted; no central cooling equipment was observed in the photographs. These utility-oriented upgrades improve the effective age and

utility of the dwelling, while the finish package remains standard-grade; taken as a whole, the renovated and updated home rates Good, with the updated kitchen, vaulted-ceiling living areas, rock masonry fireplace, and recent mechanical and energy investment defining the rating and the original-era bathroom and secondary finishes at the Average end of the range.

### Condition

The overall condition of the subject property is Good, with a range from Average to Very Good based on the client-supplied photographs, which I treat as reasonably representative of the subject property's condition on the 06/24/2026 effective date. The newest components set the top of the range: the 2025 roof replacement including sheathing (client-reported, and the roof covering depicted is uniform and new-appearing), the solar photovoltaic array, the Tesla Powerwall battery, and the reported electrical service upgrade are at or near new condition, and the kitchen's stainless steel appliances, the newer-appearing toilets in both photographed bathrooms, and the updated bathroom hardware show minimal wear. The home overall presents as clean, orderly, and actively maintained, with kept-up front landscaping, sound fencing, and no deferred-maintenance backlog evident on the depicted structure.

The lower end of the range reflects normal wear consistent with the age of the older finishes. The wall-to-wall carpet in the primary bedroom shows visible discoloration and traffic wear and is due for replacement, and the carpet in the family room and den is older with normal use evident. The hall bathroom's sheet vinyl flooring is dated though serviceable. Minor wall marks and picture-hanger holes are depicted in a secondary bedroom. Outside, the rear yard ground cover is bare soil with no lawn, and the fabric skirt panels of the recreational-vehicle canopy are weathered and soiled. These items are cosmetic; no structural distress, moisture staining, or system failures are visually evident in the photographs.

Connecting condition to utility and effective age: the major cost components - roof and sheathing, electrical service, and energy systems - are new or nearly new, and the kitchen and bathrooms are functionally updated in part, while interior floor coverings and some original-era surfaces show age-consistent wear. On balance the subject property's effective age is materially lower than its 66-year actual age, and the dwelling provides full residential utility with only minor cosmetic items outstanding.

### Notable Features

#### Most notable quality features include:

- Vaulted ceilings in the formal living room and dining room
- Floor-to-ceiling natural rock masonry fireplace with raised hearth in the den
- Updated kitchen with raised-panel cabinetry, stone-style slab countertops, recessed lighting, and a stainless steel appliance suite including a five-burner gas range
- Roof-mounted solar photovoltaic array with Tesla Powerwall home battery storage
- Composition shingle roof replaced in 2025 including plywood sheathing (client-reported; new-appearing in the photographs)
- Corner cul-de-sac site adjoining a natural canyon, with a canyon outlook from the rear yard
- Second gated concrete driveway leading to a covered recreational-vehicle parking canopy
- Interior plantation shutters and a glazed French door with decorative security grille in the primary bedroom
- Diagonal-set tile flooring through the interior hallway, kitchen, and breakfast area
- Extensive brick-accented concrete flatwork, white vinyl privacy fencing, and two resin storage sheds

- Raised front yard with segmented-block retaining walls and low-maintenance decorative rock landscaping
- Ceiling fans in the bedrooms, breakfast area, and family areas

**Visually evident deteriorated features include:**

- Discolored and worn wall-to-wall carpet in the primary bedroom, due for replacement
- Older carpet with normal use evident in the family room and den
- Dated printed-pattern sheet vinyl flooring in the hall bathroom
- Bare-soil rear yard with no lawn or ground cover
- Weathered and soiled fabric skirt panels on the recreational-vehicle canopy
- Minor wall marks and picture-hanger holes in a secondary bedroom

**Visually evident renovated or updated features include:**

- Roof replacement in 2025 including plywood sheathing (client-reported; the depicted roof covering is uniform and new-appearing)
- Roof-mounted solar photovoltaic array and Tesla Powerwall home battery
- Electrical panel upgrade with stack (client-reported; new-appearing conduit and disconnect equipment are depicted at the battery location)
- Whole-house fan (client-reported; a ceiling grille consistent with this feature is depicted at the hallway)
- Updated kitchen cabinetry, stone-style slab countertops, recessed lighting, and stainless steel appliances
- Tile flooring in the interior hallway, kitchen, breakfast area, and a photographed bathroom
- Newer-appearing toilets in both photographed bathrooms and updated faucet and cabinet hardware in the hall bathroom
- Interior plantation shutters in the primary bedroom
- Ceiling fans throughout the bedrooms and family areas
- White vinyl privacy fencing, covered recreational-vehicle parking canopy, resin storage sheds, and automatic irrigation controller

**Sales History (36 months) and Listing History (12 Months)**

None. There has been no arm's-length sale of the subject property within the 36 months preceding the 06/24/2026 effective date of value, and the subject property was not listed for sale within the 12 months preceding the effective date of value. The only recorded instrument in the public record is a 05/02/1996 nominal deed transferring the subject property from [REDACTED] into the [REDACTED] which is a non-arm's-length title adjustment and not a sale.

## Market Area Properties and Trends

This analysis measures the subject market area over the twelve months preceding the 06/24/2026 effective date of this appraisal. The median sale price for the most recent quarter (0–3 months) is \$1,042,000 versus \$1,100,000 in the prior quarter (–5.3%), while median price per square foot is \$777.79 versus \$739.34 (+5.2%) — the two medians moving in opposite directions, the signature of quarter-to-quarter compositional mix rather than a like-for-like market move. The 0–6 month median of \$1,073,500 versus \$1,100,000 for the 12–18 month period is –2.4% year over year, and the 0–6 month median \$/SF of \$771.85 versus \$752.02 is +2.6%.

The linear (OLS) trend lines fit to the twelve monthly medians are uniformly weak —  $R^2$  of 0.02 to 0.39 across the 12- and 6-month sale-price, sale-\$/SF, and list-side fits, all well below the ~0.50 needed to treat a fit as a reliable directional trend. Per my standing governance, a regression this weak is rejected as the basis for a time adjustment rather than published as if it were reliable. The supported conclusion instead rests on indicators that do not depend on regression fit: the sale-to-list price ratio is unchanged at 100.0% between the two most recent quarters, listing days on market is essentially flat (13 vs. 14 days), and months of inventory is very tight at 0.7 — a stable, firmly priced, supply-constrained market. On this record the supported time-adjustment conclusion is 0.0% (no reliable measured trend); any adjustment ultimately applied in the Sales Comparison Approach is governed by the paired-sales analysis, not this regression.

Current inventory is 13 active listings — 0.7 months of supply at the recent sales pace — with an anticipated marketing time of 30–60 days. New listing volume declined to 52 from 66 in the prior quarter (–21.2%) while sales volume rose to 54 from 44 (+22.7%), and the 0–6 month total of 98 sales compares to 93 a year earlier (+5.4%). Steady days on market and a 100.0% median sale-to-list ratio show that well-priced listings sell quickly and negotiate at full ask.

## Listing and Sales Data — Market Trend Charts



## Market Conditions — Detailed Data

| Listing Information                   |             | Sales: Absorption            |               |
|---------------------------------------|-------------|------------------------------|---------------|
| # of Current Active Listings          | 13          | # of Sales 0-3 Months        | 54            |
| Months of Inventory (30-Day Sales)    | 0.7         | # of Sales 3-6 Months Ago    | 44            |
| Anticipated Marketing Time            | 30-60 days  | Change                       | +22.7%        |
| # of Listings Past 3 Months           | 52          | # of Sales 0-6 Months        | 98            |
| # of Listings 3-6 Months Ago          | 66          | # of Sales 12-18 Months Ago  | 93            |
| Change                                | -21.2%      | Change                       | +5.4%         |
| Listings DOM (0-3 Months)             | 13          |                              |               |
| Listings DOM (3-6 Months Ago)         | 14          |                              |               |
| Change                                | -7.1%       |                              |               |
| Median Listing \$/SF (0-3 Months)     | \$776.02    |                              |               |
| Median Listing \$/SF (3-6 Months Ago) | \$769.72    |                              |               |
| Change                                | +0.8%       |                              |               |
| Sales: Trends                         |             | Marketing Time and Pricing   |               |
| Linear \$/SF Change, 12 Months        | +8.9%       | SP/LP Ratio 0-3 Months       | 100.0%        |
| Linear Sales \$ Change, 12 Months     | +5.1%       | SP/LP Ratio 3-6 Months Ago   | 100.0%        |
| Linear \$/SF Change, 6 Months         | +5.2%       | Change                       | 0.0%          |
| Linear Sales \$ Change, 6 Months      | -4.3%       |                              |               |
| Sales: Median Prices                  |             | Market Area (Past 12 Months) |               |
| Median Sale Price 0-3 Months          | \$1,042,000 | Most Living Area Range (SF)  | 1,056 - 2,019 |
| Median Sale Price 3-6 Months Ago      | \$1,100,000 | Most Property Year Built     | 1958 - 1983   |
| Change                                | -5.3%       | Subject Living Area (SF)     | 2,108         |
| Median Sale Price 0-6 Months          | \$1,073,500 | Smaller Homes                | 189 / 94.0%   |
| Median Sale Price 12-18 Months Ago    | \$1,100,000 | Larger Homes                 | 12 / 6.0%     |
| Change                                | -2.4%       | Subject Property Year Built  | 1960          |
| Median \$/SF 0-3 Months               | \$777.79    | Homes Older than Subject     | 62 / 30.8%    |
| Median \$/SF 3-6 Months Ago           | \$739.34    | Homes Newer than Subject     | 106 / 52.7%   |
| Change                                | +5.2%       | Subject Site Size (SF)       | 9,700         |
| Median \$/SF 0-6 Months               | \$771.85    | Sales with Smaller Sites     | 90.3%         |
| Median \$/SF 12-18 Months Ago         | \$752.02    | Sales with Larger Sites      | 9.7%          |
| Change                                | +2.6%       | 1 Story                      | 84.6%         |
|                                       |             | 2 Story                      | 14.9%         |
|                                       |             | 3 Story or More              | 0.0%          |
|                                       |             | Split Level                  | 0.5%          |
|                                       |             | Other / Remarks              | 0.0%          |

Computed from the CRMLS zip-92111 single-family export supplied for this assignment (all statuses, 1,643 records; 201 closed sales in the trailing 12 months ending 06/24/2026). A single-zip slice of this size sits below the ~300-sale breadth benchmark for citywide segments; no broader San Diego segment was available, and the limitation is disclosed here rather than narrowed silently.

All windows are measured backward from the 06/24/2026 retrospective effective date; no post-effective-date data is relied on in this section.

## Summary and Conclusions

The San Diego (zip 92111) single-family market as of the effective date is stable: the 12- and 6-month linear regressions on sale price and \$/SF are too weak ( $R^2$  0.02–0.39) to support a directional rate, and quarter-over-quarter median price and median \$/SF move in opposite directions — evidence of compositional mix, not a market trend. Non-regression indicators corroborate a stable, firm market: the sale-to-list price ratio holds at 100.0% across both trailing quarters, listing DOM is essentially flat (13 vs. 14 days), and supply is constrained at 0.7 months of inventory. The supported time-adjustment conclusion is 0.0%; the paired-sales analysis in the Sales Comparison Approach, not this regression, governs any adjustment ultimately applied, and comparable sales closing up to twelve months before the effective date remain reliable indicators of value under these stable conditions.

## Sales Comparison Table

| Feature          | Subject                | Comparable 1          |           | Comparable 2          |           | Comparable 3            |           | Comparable 4          |           |
|------------------|------------------------|-----------------------|-----------|-----------------------|-----------|-------------------------|-----------|-----------------------|-----------|
|                  |                        | 4871 Mount Bigelow Dr |           | 3296 Via Bartolo      |           | 3883 Mount Everest Blvd |           | 3565 Mount Burnham Ct |           |
| Street Address   |                        | 4871 Mount Bigelow Dr |           | 3296 Via Bartolo      |           | 3883 Mount Everest Blvd |           | 3565 Mount Burnham Ct |           |
| City, State, Zip | San Diego, CA 92111    | San Diego, CA 92111   |           | San Diego, CA 92111   |           | San Diego, CA 92111     |           | San Diego, CA 92111   |           |
| Sale Price       |                        | \$1,550,000           |           | \$1,349,000           |           | \$1,264,000             |           | \$1,315,000           |           |
| Sale Date        | 06/24/2026 (Eff. Date) | 03/10/2026            |           | 06/26/2026            |           | 07/17/2026              |           | 05/01/2026            |           |
| Time Adj.        |                        | 106 Days              |           | -2 Days               |           | -23 Days                |           | 54 Days               |           |
| Site (sf)        | 9,700                  | 6,000                 | \$19,000  | 9,800                 |           | 7,600                   | \$11,000  | 6,000                 | \$19,000  |
| View             | Partial Canyon         | No Notable            | \$50,000  | Partial Canyon        |           | No Notable              | \$50,000  | No Notable            | \$50,000  |
| Quality          | Gd                     | V.Gd.                 | -\$63,000 | V.Gd.                 | -\$46,000 | Gd                      |           | Gd                    |           |
| Condition        | Gd                     | V.Gd.                 | -\$63,000 | V.Gd.                 | -\$46,000 | Gd                      |           | Gd                    |           |
| Yr. Built        | 1960                   | 1959                  |           | 1958                  |           | 1961                    |           | 1964                  |           |
| Bedrooms         | 3                      | 4                     | -\$10,000 | 4                     | -\$10,000 | 5                       | -\$10,000 | 3                     |           |
| Bathrooms        | 3                      | 2.5                   | \$10,000  | 3                     |           | 2                       | \$20,000  | 3                     |           |
| Living Area      | 2,108                  | 2,305                 | -\$71,000 | 1,664                 | \$160,000 | 1,856                   | \$91,000  | 1,923                 | \$67,000  |
| Garage           | 2 Car Garage           | 2 Car Garage          |           | 2 Car Garage          |           | None                    |           | \$48,000              |           |
| Location         | Cul-De-Sac             | Neutral/Typ. \$10,000 |           | Neutral/Typ. \$10,000 |           | Neutral/Typ. \$10,000   |           | Cul-De-Sac            |           |
| Stories          | 1 Story                | 2 Story               |           | 1 Story               |           | 1 Story                 |           | 2 Story               |           |
| Special #1       | Solar+Tesla            | None                  | \$35,000  | None                  | \$35,000  | Solar+Tesla, Pool       | -\$35,000 | Pool                  |           |
| Special #2       | None                   | None                  |           | None                  |           | None                    |           | None                  |           |
| Mkt/Escrow Dates |                        | 12/8:A 2/16:E         |           | 4/3:A 5/27:E          |           | 4/10:A 5/25:E           |           | 3/18:A 4/2:E          |           |
| Concessions      |                        | Credit                | -\$15,000 | None                  |           | None                    |           | Not Detailed          |           |
| Source#1: MLS    |                        | 250045363SD           |           | NDP2603178            |           | 260008502SD             |           | 260006264SD           |           |
| Source#2: Tax    | Tax Assr.              | Tax Assr.             |           | Tax Assr.             |           | Tax Assr.               |           | Tax Assr.             |           |
| Distance         |                        | 0.37 Miles NE         |           | 0.76 Miles SSE        |           | 0.39 Miles E            |           | 0.59 Miles SE         |           |
| Net Adj.         |                        | -6.32%                | -\$98,000 | 7.64%                 | \$103,000 | 14.64%                  | \$185,000 | 10.34%                | \$136,000 |
| Gross Adj.       |                        | 22.32%                | \$346,000 | 22.76%                | \$307,000 | 21.76%                  | \$275,000 | 10.34%                | \$136,000 |
| Adj. Sale Price  |                        | \$1,450,000           |           | \$1,450,000           |           | \$1,450,000             |           | \$1,450,000           |           |

## Summary of the Sales Comparison

The subject property is a single-family residence at [REDACTED] San Diego, CA 92111, in the Clairemont "Mount Streets" neighborhood of San Diego. It is a one-story residence with three bedrooms and three full bathrooms, 2,108 square feet of living area on a 9,700 square foot (0.2227 acre) corner cul-de-sac site at the canyon rim, built in 1960, with an attached two-car garage, a Partial Canyon view from the rear of the site, and a solar photovoltaic system with a Tesla Powerwall home battery. This is a retrospective Desktop Appraisal prepared for estate (date of death) purposes with an effective date of 06/24/2026; the property rights appraised are the fee simple interest, and the subject property's physical characteristics are established in the Property Description of this report. For the sales comparison analysis I rate the subject property Good in overall quality and Good in overall condition. These are the ratings that govern the adjustment grid, and they are consistent with the ranges developed in the Property Description, with the subject property's renovated components — the 2025 roof replacement including sheathing, the solar array and Tesla Powerwall, the reported electrical service upgrade, and the updated kitchen — carrying the overall ratings to the Good tier.

I searched the subject property's Clairemont market area for closed sales of single-family residences competitive with the subject property and selected the four most similar closed sales as comparables. All four comparables are located within 0.76 miles of the subject property, and every comparable closed within a window running from six months before to three months after the 06/24/2026 effective date — a compliant comparable-sale window for this retrospective assignment. The comparable set brackets the subject property's ratings from the similar side and the superior side: Comparables 3 and 4 match the subject property's Good quality and Good condition, and Comparables 1 and 2 are superior at Very Good in both quality and condition, so the subject property's quality and condition are each anchored by similar sales and measured against superior sales.

The analysis works by extracting the contributory value of each feature from the market itself. To learn what a feature contributes to market value, I locate pairs of otherwise-similar recent sales that differ in only that feature; the difference in their sale prices, divided by the difference in the feature, yields the per-unit

contributory value. The resulting rates — dollars per square foot of living area, dollars per square foot of site area, dollars per full bathroom, and the flat contributory values for view, location, solar, and pool — are extracted once from the market and then applied uniformly to every comparable in the grid. The adjustments are not improvised for individual comparables; every comparable is measured against the subject property with the same rates in every direction.

Comparable properties are adjusted to the subject property, not other comparable properties. Negative adjustments indicate that a feature is superior compared with the subject property or is present at the comparable property but not at the subject property. Positive adjustments indicate the feature is superior at the subject property or not present at the comparable property. Please see the Paired Sales Analysis section for a more detailed description of the analysis process and to review simple examples.

Comparable 1, 4871 Mount Bigelow Dr, is the upper bracket of the analysis: a renovated, larger sale rated Very Good in both quality and condition, included to demonstrate the premium the market pays for the quality and condition tier above the subject property's. It is located 0.37 miles northeast of the subject property. The home is a two-story, four-bedroom residence with two and one-half bathrooms and 2,305 square feet of living area — fully remodeled, with permitted additions bringing it to that size — on a 6,000 square foot site, with no pool and no solar system. It was listed 12/08/2025 at \$1,575,000, went pending 02/16/2026, and closed 03/10/2026 at \$1,550,000 after 77 days on market, 106 days before the effective date. Its unadjusted sale price is the highest in the grid and brackets the value conclusion from above, and it requires the only net downward adjustment in the set. My review of the transaction identified a \$15,000 seller credit, addressed in the concessions discussion below.

Comparable 2, 3296 Via Bartolo, is the closest site and view match to the subject property: a single-level residence on a 9,800 square foot canyon-rim lot with a Partial Canyon view, the only comparable matching the subject property on both site size and view, and it brackets the subject property's living area from below at 1,664 square feet, the smallest in the set. Located 0.76 miles south-southeast of the subject property, it is a fully remodeled four-bedroom, three-bathroom home rated Very Good in quality and condition. It was listed 04/02/2026 at an original \$1,399,000, reduced to \$1,349,000, went pending 05/27/2026 — before the 06/24/2026 effective date — and closed 06/26/2026, two days after the effective date, at its \$1,349,000 list price after 54 days on market. Because its purchase contract was negotiated and its escrow opened before the effective date, the sale reflects buyer and seller behavior as of the effective date, and its close two days afterward at full list price is direct evidence of the steadiness of the market across the effective date. It takes no time adjustment, consistent with the supported rate discussed below.

Comparable 3, 3883 Mount Everest Blvd, conveys the same energy package as the subject property — a solar system with a Tesla Powerwall battery — and is the nearest sale eastward, 0.39 miles east of the subject property; it brackets the subject property's bathroom count from below and is the sale that isolates the garage contribution, because its garage was converted to living area under permit and it conveys no garage spaces. The home is an updated five-bedroom, two-bathroom residence with 1,856 square feet of living area on a 7,600 square foot site, with a solar-heated in-ground pool, a new roof, and new solar with a Tesla Powerwall. It was listed 04/10/2026 at \$1,299,000, went pending 05/25/2026 — before the effective date — and closed 07/17/2026, 23 days after the effective date, at \$1,264,000 after 45 days on market. As with Comparable 2, the contract was struck before the effective date; its close 23 days afterward at no time adjustment further demonstrates that the market held steady across the effective date.

Comparable 4, 3565 Mount Burnham Ct, shares the subject property's Cul-De-Sac location class, matches the subject property's three-bedroom, three-bathroom configuration, and carries the lowest net and gross

adjustment in the grid at 10.34 percent — the cleanest single indicator of value in the analysis. Located 0.59 miles southeast of the subject property in the same Mount Streets micro-area, it is an updated two-story residence with 1,923 square feet of living area on a triangular 6,000 square foot lot with an in-ground pool and no solar system. It was listed 03/18/2026 at \$1,275,000, went pending 04/02/2026, and closed 05/01/2026 at \$1,315,000 — above its list price — after 15 days on market, 54 days before the effective date. Its MLS concession field reads "Not Detailed," addressed in the concessions discussion below.

Concessions open the adjustment analysis because they represent value the seller transferred to the buyer in exchange for a higher headline sale price and must be removed before any feature-level analysis. My review of Comparable 1 identified a \$15,000 seller credit, carried in the grid as a Credit and deducted dollar for dollar. I tested the credit against the standard buyer-broker compensation rates of 1.5, 1.75, 2, 2.5, and 3 percent: \$15,000 is 0.97 percent of the \$1,550,000 close, which matches none of them, so the credit is a true cash-equivalency concession rather than compensation to a cooperating broker, and it is deducted. Comparable 4's MLS concession field reads "Not Detailed"; no amount is disclosed there, and no concession adjustment is applied to that sale. Comparables 2 and 3 closed with no reported concessions and take none. I also examined the buyer-broker compensation reported for each sale; such amounts are compensation paid to a cooperating broker rather than a credit to the buyer — a normal cost of sale — and I make no adjustment for them. The CRMLS export supplied for this assignment carries no per-listing concession detail fields; the concession treatments applied here reflect my transaction-level determinations recorded in the adjustment grid.

The date-of-sale row carries no adjustment on any comparable. The market conditions analysis in this report concludes that the zip 92111 single-family segment was stable at the effective date, with a supported time adjustment of 0.0 percent per month: the sale-to-list price ratio holds at 100.0 percent, listing days on market is essentially flat at 13 versus 14 days, and inventory is very tight at 0.7 months of supply — a stable, firmly priced market rather than one moving in either direction. The adjustment grid and the market conditions section tell one story: no time adjustment is supported and none is applied. Comparables 2 and 3 closed after the effective date, on 06/26/2026 and 07/17/2026 respectively, on purchase contracts accepted before it, on 05/27/2026 and 05/25/2026; their closes with no time adjustment demonstrate that the market did not move meaningfully across the effective date, and Comparable 4's close above list price after 15 days on market corroborates the same firm pricing from the pre-effective-date side.

The subject property's site is at the terminus of the [REDACTED] a cul-de-sac location that carries a measurable premium over a typical interior-street location in this market, extracted from paired sales of otherwise-similar homes differing in street position. Comparables 1, 2, and 3 occupy Neutral/Typical locations and each receives a \$10,000 upward adjustment for the subject property's superior Cul-De-Sac location; Comparable 4 shares the subject property's Cul-De-Sac location class and requires no location adjustment.

Site-size adjustments are market-derived, applied per square foot of site-area difference at a linear rate supported by the site-size range across the comparable set, and rounded to the nearest \$1,000. Comparables 1 and 4, each on a 6,000 square foot site, receive a \$19,000 upward adjustment; Comparable 3, on a 7,600 square foot site, receives an \$11,000 upward adjustment; and Comparable 2's 9,800 square foot site is 100 square feet larger than the subject property's 9,700 square foot site, a difference that rounds to no adjustment.

The subject property's rear yard adjoins a natural brush canyon with a Partial Canyon outlook. Comparable 2 shares a Partial Canyon view and requires no view adjustment — its presence in the grid anchors the view row with a matched sale. Comparables 1, 3, and 4 have no notable view, and each receives a \$50,000 upward adjustment representing the contributory value of the subject property's canyon outlook, extracted from the market's reaction to canyon-rim outlooks in this neighborhood.

The quality and condition rows carry the market's reaction to the one-tier difference between the Very Good ratings of Comparables 1 and 2 and the subject property's Good ratings. These adjustments are market-extracted paired adjustments for the one-tier Very Good versus Good difference, calculated on a price-per-square-foot-of-living-area basis, so the dollar figure for each comparable scales with that comparable's living area: Comparable 1, at 2,305 square feet, receives a \$63,000 downward adjustment on the quality row and a \$63,000 downward adjustment on the condition row, while Comparable 2, at 1,664 square feet, receives a \$46,000 downward adjustment on each row for the same one-tier difference. Comparables 3 and 4 match the subject property at Good quality and Good condition and require no adjustment on either row, anchoring both rows with similar-rated sales.

Living-area adjustments are applied at one uniform per-square-foot rate, supported by the living-area range across the comparable set, to each comparable's difference from the subject property's 2,108 square feet. Comparable 1, at 2,305 square feet, is larger than the subject property and receives a \$71,000 downward adjustment; Comparable 2, at 1,664 square feet, receives a \$160,000 upward adjustment; Comparable 3, at 1,856 square feet, receives a \$91,000 upward adjustment; and Comparable 4, at 1,923 square feet, receives a \$67,000 upward adjustment. Comparable 1 brackets the subject property's living area from above and Comparables 2, 3, and 4 bracket it from below, which ensures the subject property's 2,108 square foot living area falls squarely inside the range of the analysis. Comparable 2's \$160,000 living-area adjustment is 11.9 percent of its sale price, above the 10 percent single-line guideline; that excess is the direct and expected product of its role as the low living-area bracket and the closest site and view match, and it is disclosed here and in the reconciliation.

Bedroom count is adjusted for the room-count utility of bedrooms beyond the subject property's three. The raw floor area of those rooms is already priced on the living-area line, so the bedroom row prices only the utility of the additional room count — a larger per-room figure would double-count area the living-area line has already captured. Within this set the market prices the presence of a fourth or fifth bedroom as a single utility difference relative to the subject property's three: Comparable 1, with four bedrooms, Comparable 2, with four bedrooms, and Comparable 3, with five bedrooms, each receive a \$10,000 downward adjustment, and Comparable 4, matching the subject property at three bedrooms, requires no adjustment.

Bathrooms are adjusted on their own line at a per-full-bathroom contributory value supported by the presence of two-bathroom, two-and-one-half-bathroom, and three-bathroom sales within the grid. Comparable 1, with two and one-half bathrooms, receives a \$10,000 upward adjustment for its half-bathroom deficit relative to the subject property's three full bathrooms; Comparable 2, with three bathrooms, requires no adjustment; Comparable 3, with two bathrooms, receives a \$20,000 upward adjustment for its full-bathroom deficit; and Comparable 4, with three bathrooms, requires no adjustment.

The subject property has an attached two-car garage. Comparable 3's garage was converted to living area under permit and the property conveys no garage spaces, so it receives a \$48,000 upward adjustment for the absent two-space garage; the converted space itself is included in its 1,856 square feet of living area and is priced on the living-area line, so the garage adjustment prices only the absent parking and storage utility and nothing is double-counted. Comparables 1, 2, and 4 each have a two-car garage matching the subject property and require no adjustment.

The stories row carries no adjustment. Comparables 1 and 4 are two-story homes and the subject property, Comparable 2, and Comparable 3 are single-level; the market in this area does not exhibit a separable price reaction to story count among homes of similar living area — the utility difference is priced through the living-area and quality and condition lines, and a separate story adjustment would double-count that influence.

The year-built row carries no adjustment. The subject property was built in 1960 and the comparables were built in 1959, 1958, 1961, and 1964; the underlying age differential is immaterial in terms of effective age and is already captured in the condition ratings, so no year-built adjustment is required.

The subject property's solar photovoltaic system with Tesla Powerwall battery contributes \$35,000 to market value. Comparables 1 and 2 convey no solar system and each receives a \$35,000 upward adjustment for the energy package they lack. Comparable 3 conveys the same solar-and-Powerwall package as the subject property and also has an in-ground pool the subject property lacks; the matching energy packages net to zero between the two properties, and the line carries only the \$35,000 downward adjustment for the pool — the shared solar package was cancelled in the netting, not dropped. Comparable 4 has an in-ground pool but no solar system; the \$35,000 upward adjustment for the subject property's solar package and the \$35,000 downward adjustment for the comparable's pool net exactly to zero, so the line carries no adjustment — the two amenities offset each other rather than going unadjusted.

I excluded the heating and cooling row from the grid. Listing agents do not reliably report the heating and cooling type across properties, and its contribution to value is too small to reliably isolate; the condition and quality adjustments capture its most probable contribution, as with any feature that does not carry its own line, and market participants face the same challenge in pricing it.

Two rounding conventions govern the grid. All adjustments are rounded to the nearest \$1,000 because market participants price individual features in round increments, and the Adjusted Sale Price row is displayed rounded to the nearest \$5,000 because market participants price entire properties in round increments. The true unrounded adjusted sums are \$1,452,000 for Comparable 1, \$1,452,000 for Comparable 2, \$1,449,000 for Comparable 3, and \$1,451,000 for Comparable 4 — each within the plus-or-minus \$2,500 display-rounding band around the displayed \$1,450,000 — so the convergence of the closed sales is a tight cluster of independently computed figures, not an artifact of rounding.

A reviewer examining the adjustment grid, in which all four closed sales display an adjusted sale price of \$1,450,000, reasonably asks whether the comparables were adjusted toward a predetermined value. They were not, and the convergence is the natural product of the paired-sales method. The appraiser did not target a value. The appraiser made minute, consistently-applied adjustments across all comparable properties — the same per-unit rate applied uniformly to every comparable — until the comparables themselves consistently indicated a value. The conclusion was revealed by the data, not selected and then justified.

Paired sales analysis works in plain terms as follows: to learn what a feature contributes to market value, the appraiser locates pairs of otherwise-similar sales that differ in only that feature. The difference in their sale prices, divided by the difference in the feature, yields the per-unit contributory value of that feature. The same per-unit rate is then applied uniformly to every comparable in the grid.

The adjustments in this analysis are consistent linear per-unit and per-square-foot rates applied identically across all comparables. They are not invented for each comparable; they are extracted once from the market and applied consistently to all. A comparable with a larger living area receives a larger dollar adjustment for the same one-tier quality difference only because the same per-square-foot rate is multiplied by more square feet — the rate itself never changes from one comparable to the next.

The adjusted sale prices shown in the grid are rounded to the nearest \$5,000 because market participants price entire properties in round increments. The unrounded figures vary slightly from one comparable to the next; the comparables do not indicate a single identical number. They indicate a tight cluster of numbers that round to

the same figure, and the true unrounded sums disclosed above show that cluster spanning \$1,449,000 to \$1,452,000.

The per-unit adjustment rates used in this analysis were derived in small increments and applied uniformly to every comparable in the grid; the same rate was used in every direction and on every comparable. When the rates that best fit the available paired-sales evidence are applied consistently across the grid, the adjusted sale prices reveal a value indication. They are not steered toward one. The adjusted sale prices solve for the value indicated by the data; they do not target it.

This approach stands in contrast to the common practice of applying broad, pre-determined adjustment amounts that are not extracted from the local market and then relying on experience or other subjective judgment to arrive at a final value. The approach used in this analysis is as objective as the available data permits — the value is what the math produces when consistent, market-derived rates are applied to actual sales.

The Paired Sales Analysis section of the addenda contains three worked, step-by-step examples illustrating how adjustments are derived as features are added to a hypothetical subject property; I direct the reviewer there to see the derivation process illustrated from first principles.

The gross adjustments on Comparables 1 through 3 — 22.32 percent, 22.76 percent, and 21.76 percent — exceed the levels contemplated by the traditional adjustment guidelines on the gross side, and Comparable 2's \$160,000 living-area line, at 11.9 percent of its sale price, exceeds the 10 percent single-line guideline. The excess is attributable line by line to each sale's structural role in the analysis: on Comparables 1 and 2, the paired quality and condition adjustments — \$63,000 on each row for Comparable 1 and \$46,000 on each row for Comparable 2 — price the one-tier Very Good versus Good difference those sales exist to measure; on Comparables 2 and 3, the living-area lines of \$160,000 and \$91,000 price the living-area bracket from below; and on Comparables 1, 3, and 4, the \$50,000 view line prices the subject property's Partial Canyon outlook against no-notable-view sales. Each of those figures is one market-extracted rate applied to one measured difference, not a stack of judgment calls. Comparable 4, at 10.34 percent net and gross, sits within the guidelines on every line and is the cleanest indicator in the set.

The net adjustments and adjusted sale prices are as follows. Comparable 1 adjusts by a net \$98,000 downward (negative 6.32 percent) to a displayed \$1,450,000. Comparable 2 adjusts by a net \$103,000 upward (positive 7.64 percent) to a displayed \$1,450,000. Comparable 3 adjusts by a net \$185,000 upward (positive 14.64 percent) to a displayed \$1,450,000. Comparable 4 adjusts by a net \$136,000 upward (positive 10.34 percent) to a displayed \$1,450,000. One comparable adjusts downward and three adjust upward, so the subject is well-bracketed by the supporting evidence from both directions; the unadjusted sale prices also bracket the conclusion, from \$1,550,000 above it to \$1,264,000, \$1,315,000, and \$1,349,000 below it. The adjusted sale prices of all four comparables round to \$1,450,000, and I conclude the value as the converged mode of the four closed sales.

The subject property is held by the [REDACTED] and has not been listed for sale or sold following the effective date, so no post-effective-date market transaction of the subject property is available as an additional check on the value conclusion; the closes of Comparables 2 and 3 after the effective date, on contracts struck before it, serve that market-steadiness role instead.

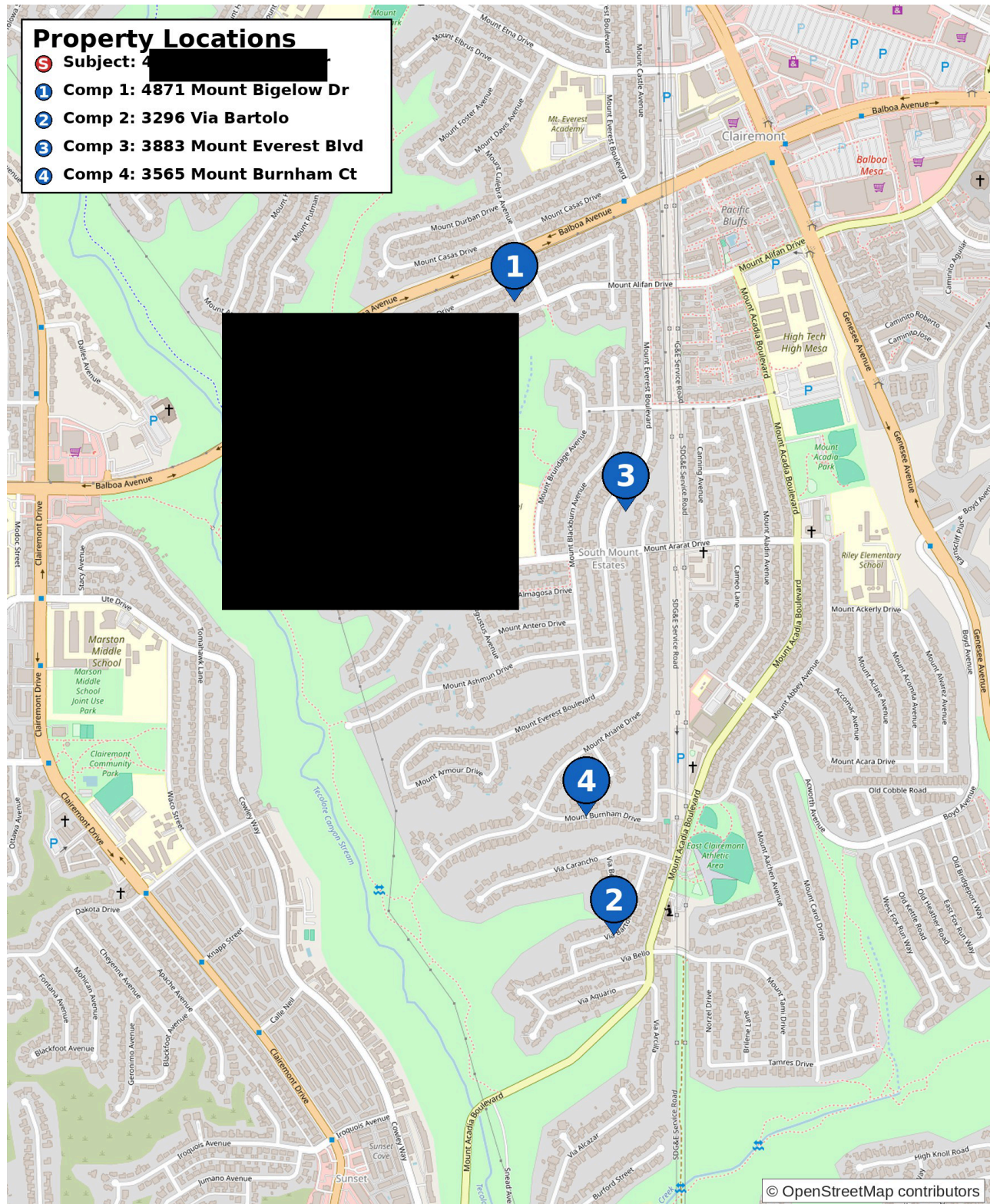
All four closed sales, adjusted under uniformly applied, market-extracted rates, converge on \$1,450,000 — the mode of the four displayed adjusted sale prices, with true unrounded sums of \$1,452,000, \$1,452,000, \$1,449,000, and \$1,451,000 inside the plus-or-minus \$2,500 display band. That figure is the indicated value by

the Sales Comparison Approach, and my opinion of the market value of the subject property as of June 24, 2026, is \$1,450,000.

I solely rely on the Sales Comparison Approach to value because it best reflects the tenets of market value and provides the only reliable indication of value. The Cost Approach is not reliable or considered because market participants do not consider depreciated construction and land costs when pricing properties in the local market. The Income Approach is not reliable or considered because there is an inadequate supply of investment property sales with market rents, and a reliable gross rent multiplier cannot be determined.

# Map of the Properties in the Analysis

(General relative location)



## Photographs of the Properties in the Analysis

Subject Property: [REDACTED]

Photo redacted for confidentiality

Comp. 1: 4871 Mount Bigelow Dr



Comp. 2: 3296 Via Bartolo



Comp. 3: 3883 Mount Everest Blvd

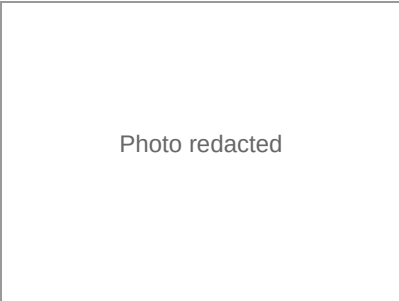


Comp. 4: 3565 Mount Burnham Ct



# Photographs of the Subject Property

**Front Elevation - Corner Lot with New-Appearing Roof and Block Retaining Walls**



**Side Elevation - Roof-Mounted Solar Array and Gated Second Driveway**



**Rear Elevation - Masonry Chimney, Retractable Awning, and Covered Porch**



**Side Patio - Brick-Accented Concrete and Vinyl Privacy Fencing**



**Side Yard - Second Driveway Area with Storage Sheds and Citrus Tree**



**Covered Recreational-Vehicle Parking Canopy**



**Rear Yard - Bare-Soil Landscaping at the Canyon Rim**



**Canyon Outlook from the Rear Yard**



**Canyon Outlook - Rear Slope and Open Space**



**Tesla Powerwall Battery and Irrigation Controller - Updated Equipment**



**Living Room - Vaulted Ceiling**



**Dining Room - Vaulted Ceiling and Sliding Door to Patio**



**Kitchen - Updated Cabinetry, Stone-Style Counters, and Stainless Gas Range**



**Breakfast Area - Original Built-In Hutch and Tile Floor**



**Family Room - Sliding Door to Rear Patio**



**Den - Natural Rock Masonry Fireplace with Raised Hearth**



**Interior Hallway - Diagonal-Set Tile Flooring**



**Primary Bedroom - Plantation Shutters, Worn Carpet**



*Bedroom - Ceiling Fan*



*Bathroom - Painted Vanity and Tile Floor*



## REDACTED FOR CONFIDENTIALITY

Original content: Subject Property Report (CoreLogic) 1/3

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or property imagery) and has been removed.

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# Addenda

## General Scope of Work

The Scope of Work refers to the type and extent of research and analysis required in an appraisal assignment to produce credible results, given the nature of the appraisal problem, the specific requirements of the intended user(s), and the intended use of the appraisal report. Any reliance on this report, regardless of how acquired, by any party or for any use other than those specified in this report by the appraiser is prohibited. The Opinion of Value, which is the conclusion of this report, is credible only within the context of the Scope of Work, Effective Date, Date of Report, Intended User(s), Intended Use, stated Assumptions and Limiting Conditions, any Hypothetical Conditions and/or Extraordinary Assumptions, and the Type of Value as defined herein. The appraiser, appraisal firm, and related parties assume no obligation, liability, or accountability, and will not be responsible for any unauthorized use of this report or its conclusions. The scope of work may be expanded within the analysis.

## Definition of Market Value \*

Market value means the most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised and acting in what they consider their own best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.

\* This definition is from regulations published by federal regulatory agencies pursuant to Title XI of the Financial Institutions Reform, Recovery, and Enforcement Act (FIRREA) of 1989 between July 5, 1990, and August 24, 1990, by the Federal Reserve System (FRS), National Credit Union Administration (NCUA), Federal Deposit Insurance Corporation (FDIC), the Office of Thrift Supervision (OTS), and the Office of Comptroller of the Currency (OCC). This definition is also referenced in regulations jointly published by the OCC, OTS, FRS, and FDIC on June 7, 1994, and in the Interagency Appraisal and Evaluation Guidelines, dated October 27, 1994.

## General Purpose of the Appraisal

(The specific purpose for this appraisal is described in the "Appraisal Summary" section.)

The general purpose of this appraisal report is to develop an opinion of the market value of the fee simple interest of the real property rights of the property identified as the "subject property" or "subject" in the body of this report, subject to this Scope of Work, purpose of the appraisal, reporting requirements of the attached appraisal report form, requirements of the Uniform Standards of Professional Appraisal Practice (USPAP), and Definition of Market Value (defined later in this appraisal).

## Common Extraordinary Assumptions

(Additional extraordinary assumptions may be found in the "Appraisal Analysis" pages)

- I make the extraordinary assumption that all information provided to me by the owner, from other knowledgeable parties, and/or through my industry-standard data services is true, correct, and complete.
- I make the extraordinary assumption that, unless otherwise noted, all construction and features at the subject property have been legally permitted for their current use.
- I make the extraordinary assumption that the site and soil are suitable for the intended use of the property.

## Appraiser's Qualifications

I have been a full-time residential appraiser since April 2004 and have continuously provided appraisal services. During this time, I have completed over 5,000 appraisals, including properties with living areas exceeding 10,000 square feet, market values of up to \$11,000,000, and properties with over 360 acres of land. Additionally, I have appraised properties in all of Southern California's regions, including coastal, desert, mountain, resort, urban, suburban, and rural areas. My clients have included major home lenders such as Countrywide Home Loans/Bank of America, Wells Fargo Bank, Washington Mutual/JPMorgan Chase, and Citicorp, both directly and indirectly through third-party lenders, mortgage brokers, and appraisal management companies. I have also completed appraisals for federally insured transactions by the Department of Housing and Urban Development and routinely perform appraisals for matters not related to mortgages. I have completed 480 hours of accredited appraiser education.

## Statement of Assumptions and Limiting Conditions

- The appraiser will not be responsible for matters of a legal nature that affect either the property being appraised or the title to it. The appraiser assumes that the title is good and marketable and, therefore, will not render any opinions about the title. The property is appraised on the basis of it being under responsible ownership.
- The appraiser may have provided a sketch in the appraisal report to show approximate dimensions of the improvements, and any such sketch is included only to assist the reader of the report in visualizing the property and understanding the appraiser's determination of its size. Unless otherwise indicated, a Land Survey was not performed.
- If so indicated, the appraiser has examined the available flood maps that are provided by the Federal Emergency Management Agency (or other data sources) and has noted in the appraisal report whether the subject site is located in an identified Special Flood Hazard Area. Because the appraiser is not a surveyor, he or she makes no guarantees, express or implied, regarding this determination.
- The appraiser will not give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand.
- If the cost approach is included in this appraisal, the appraiser has estimated the value of the land in the cost approach at its highest and best use, and the improvements at their contributory value. These separate valuations of the land and improvements must not be used in conjunction with any other appraisal and are invalid if they are so used. Unless otherwise specifically indicated, the cost approach value is not an insurance value, and should not be used as such.
- The appraiser has noted in the appraisal report any adverse conditions (including, but not limited to, needed repairs, depreciation, the presence of hazardous wastes, toxic substances, etc.) noted in the photographs and information used in the development of this appraisal, or that he or she became aware of during the normal research involved in performing the appraisal. Unless otherwise stated in the appraisal report, the appraiser has no knowledge of any hidden or unapparent conditions of the property, or adverse environmental conditions (including, but not limited to, the presence of hazardous wastes,

toxic substances, etc.) that would make the property more or less valuable, and has assumed that there are no such conditions and makes no guarantees or warranties, express or implied, regarding the condition of the property. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, the appraisal report must not be considered as an environmental assessment of the property.

- The appraiser obtained the information, estimates, and opinions that were expressed in the appraisal report from sources that he or she considers to be reliable and believes them to be true and correct. The appraiser does not assume responsibility for the accuracy of such items that were furnished by other parties.
- The appraiser will not disclose the contents of the appraisal report except as provided for in the Uniform Standards of Professional Appraisal Practice, and any applicable federal, state or local laws.
- If this appraisal is indicated as subject to satisfactory completion, repairs, or alterations, the appraiser has based his or her appraisal report and valuation conclusion on the assumption that completion of the improvements will be performed in a workmanlike manner.
- An appraiser's client is the party (or parties) who engage an appraiser in a specific assignment. Any other party acquiring this report from the client does not become a party to the appraiser-client relationship. Any persons receiving this appraisal report because of disclosure requirements applicable to the appraiser's client do not become intended users of this report unless specifically identified by the client at the time of the assignment.
- The appraiser's written consent and approval must be obtained before this appraisal report can be conveyed by anyone to the public, through advertising, public relations, news, sales, or by means of any other media, or by its inclusion in a private or public database.
- The appraised value does not deduct for common costs associated with selling or buying a property such as sale agent commissions, which are typically 5%-6% of a property's sale price, or sale closing costs.
- Photographs from the local Multiple Listing Service are used to better reflect comparable property condition on each respective property's sale date.
- Under the Uniform Standards of Professional Appraisal Practice (USPAP) Standards Rule 2-2(b), this is a Restricted Use Appraisal Report, prepared and intended for a specific purpose and client with data collection, analysis, and presentation designed to specifically satisfy them. As such, this appraisal should only be considered reliable for its intended purpose and user. Further, my liability is limited to the identified client and their defined purpose and does not extend to any other entity relying on the appraisal or if used for any other purpose. Any USPAP requirements not detailed in this appraisal are maintained in my workfile and the users of this report must clearly understand that the report may not contain supporting rationale for all of the opinions and conclusions set forth in the report.
- If any assumptions in this appraisal are inaccurate or are based on incomplete information, the market value of the subject property, as defined, may be different.

## Explanations and Examples

### Approaches Used to Derive Market Value in Appraisals

There are three approaches to value that are used to derive market value in appraisal reports:

- Sales Comparison Approach to Value. This method of deriving value allows for the most complete satisfaction of the tenets of market value. It compares sales of properties similar to the property being appraised with the intention of producing a value that reflects the actions of recent market participants that may have considered also purchasing the subject property, had it been for sale. The significant

majority of the time, this is the approach used for appraisals of single-family residences and condominiums in Southern California where sales and information regarding the sales are usually plentiful.

- **Cost Approach to Value.** This method of deriving value calculates the cost of a property's improvements, less depreciation, and adds them to the value of the land as if vacant. Market participants usually make their purchasing and selling decisions based on what properties have been selling for in the area and not on the cost of a property resulting in market value often being significantly different than what is derived in the sales comparison approach to value. The cost approach to value is usually the best option when sales are extremely scarce, which is uncommon in Southern California.
- **Income Approach to Value.** This method of deriving value utilizes the income capabilities of a property to derive a property's market value. In Southern California, property values are often too high and investors/landlords will not see enough profit / reasonable enough of a return from rents to where buying a property based solely on its income producing capabilities equals a value above what the sales comparison approach usually indicates, making it an unreliable indicator of market value for single family residences and condominiums where potential investors are mostly competing with buyers who will live in their properties after purchase and do not consider the profit they could receive from renting their property. The income approach is most commonly used for multi-family properties and commercial properties.

### Why the Specific Comparable Properties Were Selected for Comparison

The comparable property sales included are the best available for developing an accurate value opinion that satisfies the uniform standard of professional appraisal practice, adheres to the definition of market value, and satisfies paired sales analysis. While there may be additional sales that better reflect certain features of the subject property (or other factors), the comparable properties used collectively provide the best reflection of the market appeal of the subject property's utility and features, the most current market trends, and the actions of buyers and sellers who are most likely to buy/sell the subject property. Additional consideration is also given to the property sales with the most reliable conditions for a market value sale, such as those with the least sales concessions and the least favorable lending terms. Any applicable property sales not included in the Sales Comparison are either redundant or less reliable than those included.

### Paired Sales Analysis

A method of estimating the amount of adjustment for the presence or absence of any feature by pairing the sales prices of otherwise similar properties with and without the feature in question. A sufficient number of sales must be found to allow the appraiser to isolate the effect on value of the pertinent factor (also called paired data set analysis and matched pairs analysis). If applied correctly, all comparable properties in a sales comparison should indicate the same value for the property being appraised. Examples are included below.

Example 1 – One Different Comparable Feature. Comparable 2 is adjusted -\$5,000 because it has a 3rd garage space which neither the Subject nor properties 1 or 3 have.

|                                   | Subject      | Comparable 1     |                      | Comparable 2     |          | Comparable 3     |                      |
|-----------------------------------|--------------|------------------|----------------------|------------------|----------|------------------|----------------------|
| <b>Sale Price</b>                 |              | <b>\$100,000</b> |                      | <b>\$105,000</b> |          | <b>\$100,000</b> |                      |
| <b>Garages</b>                    | 2 Car Garage | 2 Car Garage     | <i>No Adjustment</i> | 3 Car Garage     | -\$5,000 | 2 Car Garage     | <i>No Adjustment</i> |
| <b>Adj. \$ of the Comparables</b> |              | <b>\$100,000</b> |                      | <b>\$100,000</b> |          | <b>\$100,000</b> |                      |

Example 2 – Two Different Comparable Features. Comparable 2 is adjusted -\$5,000 because it has a 3rd garage space which neither the Subject nor properties 1 or 3 have. Comparable 1 is adjusted -\$10,000 because it has a pool which the Subject does not have.

|                            | Subject      | Comparable 1 |               | Comparable 2 |               | Comparable 3 |               |
|----------------------------|--------------|--------------|---------------|--------------|---------------|--------------|---------------|
| Sale Price                 |              | \$110,000    |               | \$105,000    |               | \$100,000    |               |
| Garages                    | 2 Car Garage | 2 Car Garage | No Adjustment | 3 Car Garage | -\$5,000      | 2 Car Garage | No Adjustment |
| Pool                       | No Pool      | Pool         | -\$10,000     | No Pool      | No Adjustment | No Pool      | No Adjustment |
| Adj. \$ of the Comparables |              | \$100,000    |               | \$100,000    |               | \$100,000    |               |

Example 3 – Three Different Comparable Features. Comparable 2 is adjusted -\$5,000 because it has a 3rd garage space which neither the Subject nor properties 1 or 3 have. Comparable 1 is adjusted -\$10,000 because it has a pool which the Subject does not have. Comparable 1 is adjusted -\$5,000 because it has a 100 Sf larger house size than the Subject. Comparable 3 is adjusted +\$5,000 because it has a 100 Sf smaller house size.

|                            | Subject      | Comparable 1 |               | Comparable 2 |               | Comparable 3 |               |
|----------------------------|--------------|--------------|---------------|--------------|---------------|--------------|---------------|
| Sale Price                 |              | \$115,000    |               | \$105,000    |               | \$95,000     |               |
| Garages                    | 2 Car Garage | 2 Car Garage | No Adjustment | 3 Car Garage | -\$5,000      | 2 Car Garage | No Adjustment |
| Pool                       | No Pool      | Pool         | -\$10,000     | No Pool      | No Adjustment | No Pool      | No Adjustment |
| Living Area                | 1,000 Sqft   | 1,100 Sqft   | -\$5,000      | 1,000 Sqft   | No Adjustment | 900 Sqft     | +\$5,000      |
| Adj. \$ of the Comparables |              | \$100,000    |               | \$100,000    |               | \$100,000    |               |

### Bracketing In Paired Sales Analysis

When an identical feature cannot be found, that feature is 'bracketed' so that a mathematical factor can be developed. Bracketing refers to the inclusion of properties with greater and lesser features compared with the subject property. For example, to determine the value difference between a property's 1,000 Sf of living area and other properties, a 900 Sf property that sold for \$100,000 and a 1,100 Sf that sold for \$110,000 is included. The difference between these properties is 200 Sf and \$10,000. This indicates that a \$50/Sf adjustment is required (\$10,000/200 Sf).

### Tips for Understanding the Analysis

A number in the 'Data Source' row reflects the multiple listing service number for the comparable property and a number in the 'Verification Source' row reflects the public record recording document number for the sale of the comparable property. Site descriptions reflect square feet of site area. Bedrooms are adjusted in the 'Above Grade' row and bathrooms are adjusted for in the 'Room Count' row. Numbers in the 'Concessions' row reflect the mortgage that was acquired for the purchase of each comparable property where it is present, if one exists. Entries in the 'Location' row reflect the approximate Latitude and Longitude of each property.

Appraisers are required to analyze any sales/transactions of the Subject Property within 36 months of the effective date of this report and any comparable sales/transfers within the 12 months prior to each property's respective sale date for anything that could suggest that a current comparable sale/transaction is unreliable,

such as from market manipulation due to house flipping. None of the properties used in the analysis have prior sales within these timeframes that suggest the recent sales of those properties are unreliable.

Adjustments for comparable sale differences are primarily derived using paired sales analysis, although depreciated cost analysis and statistical analysis are also considered where appropriate and as validation of the adjustments. The properties in the sales comparison are the most recent and similar available that satisfy the tenets of market value and paired sales analysis, and that result in a consistent value opinion. Please see the 'Paired Sales Analysis' heading in the 'Definitions' addendum for a basic description of paired sales analysis. In addition to reading this summary of the sales comparison, reviewing what paired sales analysis is may help the reviewer of this appraisal to understand why some of the properties in this sales comparison were selected.

Because the subject property and the comparable properties do not have uniform condition or quality throughout, the condition and quality ratings/descriptions of each property represent a summary of the condition and quality of each property and their features. Some features of each property will be superior or inferior to their summarized condition and quality descriptions.

The applied adjustments represent the most probable contribution to value given the disparate data available, and some features' values are not able to be derived due to a lack of market data/evidence. This does not mean that these features do not contribute value and the value contribution of these features is inherently included in other adjustments, if adjustments are required at all. It is possible that additional sales could result in more exact adjustments, although the net and gross adjustments would most likely be the same or similar. Also, the preparation of this sales comparison included the consideration of a number of other properties, and some adjustments applied in this sales comparison may have been derived and/or confirmed by those other properties.

Real estate agents do not consistently calculate, or report, room totals and I have no resource other than their reporting for room totals in the sales comparison. This results in inconsistent and/or unreliable total room counts in the sales comparison. Because of this, and because there is no support for value adjustments based on total room counts, it is my opinion that the relevance of total rooms should be disregarded in this appraisal.

No property sales identified as being distressed or that otherwise may not have been sold for market value in the local multiple listing service (e.g. Bank sales, short sales, estate sales) are considered in this sales comparison.

Several dates for sales and listings may be included. They are the escrow date, the settle date, and the sale date. The escrow date is the date that the buyer and seller agreed to a sale price, but before all terms of the contract have been settled. The settle date is the date that the terms of the sale are finalized, and the sale date is the date that the sale is recorded with the county.

Unless otherwise noted, all comparable sales are sourced and verified using the local multiple listing service and public record through CoreLogic's 'Realist' service.

It is critically important for the client to understand that the value derived through this appraisal is the most probable price the subject property would bring (see full 'Definition of Market Value' in the standard declarations) and not the highest possible value or the lowest reasonable value, as are the common objectives of buyers and sellers, and their real estate agents. Because market participants have varying motivations, most may consider the subject's value differently than I have and it is possible that the subject property will sell for more or less than my value opinion. However, using sound property valuation principles and techniques, and in consideration of the best data available, it is my opinion that the value derived through this appraisal is the market value of the subject property.

It is also critically important for the client to understand that this appraisal and its appraised value are derived as of/for a specific effective date and that it does not forecast future market conditions. Market conditions and the quality of the sales data available can change rapidly, altering the subject property's market value in a short period of time. If relevant for their purpose, the client should be diligent in remaining abreast of market condition changes to be able to best utilize the appraisal for their specific need.

### How Mortgage Terms and Concessions Can Affect Sale Prices

The definition of market value requires that a purchase price be in terms of cash to be considered market value. Mortgages with low down-payments/where higher than typical loan to home value ratios are allowed, and private party loans to commonly unqualified people, are all examples of mortgages/loan terms that can affect purchase prices. This is because such mortgages encourage a focus on borrowing and not on a home's purchase price, because they encourage irresponsible borrowing due to the borrower having relatively little stake in the purchase and will incur little to no loss should they be unable to make their mortgage payments, and because borrowers who otherwise could not qualify for purchases are afforded the opportunity to buy homes which artificially increases competition, and therefore prices, and they allow sellers and mortgage companies to artificially increase sale prices, rates, and fees because the buyers have few other options and are more desperate than buyers who buy with cash or cash equivalent conventional mortgages. The definition of market value also requires that buyers be typically motivated, which buyers unable to qualify for conventional mortgages may not be.

High loan to home value ratio mortgages, high debt to income ratio mortgages, and a lack of reasonably qualified borrowers in the early to mid-2000s were a major contributing factor to rapid home price increases and the ensuing housing market collapse that spurred the 'Great Recession' of recent years. Currently the federal government has programs in place through the VA (Veteran's Affairs) and FHA (Federal Housing Administration) departments which provide guarantees to lenders for mortgages where loan to value ratios are at or above 97%, and sometimes as high as 106% of a property's market value. Additionally, some VA loans allow for debt-to-income ratios nearly double what a conventional mortgage is allowed, and both FHA and VA can permit the inclusion of sales concessions in the mortgages so that buyers with little cash that can't otherwise afford closing costs can still buy properties. This can also cause purchase prices to increase so that the seller does not have to carry the actual burden of assisting buyers in paying for their closing costs because the costs are actually included in the mortgages.

The significant difference between these government programs and what occurred in the 2000s is that borrowers have much more stringent qualification requirements. But while this difference does exist, sellers of properties that accept VA, FHA, and other similar mortgages often increase their sale prices to account for the inconvenience in waiting for borrowers who require such loans and the higher probability that the mortgages will not be accepted, especially compared with cash sellers. In turn, buyers who require these mortgages are often willing to pay the higher prices, interest rates, and fees because their options to not do so are often limited.

In summary: Property purchases with mortgage lending terms common of FHA, VA, and private party loans can include incentives that result in the purchase prices of the properties to not satisfy the definition of market value which requires that the purchase prices be in terms of cash. In other words, buyers who use these mortgages sometimes pay more for properties than a cash buyer would pay for the same properties and therefore the purchase prices where such loans are used are less reliable indicators of market value than cash purchases or purchases where buyers have contributed a significant down-payment. Because of this, emphasis should be placed on comparable sales where cash or cash equivalent conventional mortgages are used, when possible.

## The Principle of Substitution

When developing the appraisal, the goal is to develop an opinion of the property's value based on what similar, or substitute, properties and/or features have sold for as of the effective date of the appraisal report. The principle states that a buyer will not pay more for a property than its competition in the neighborhood. In other words: if a property that is identical to the property being appraised is available for \$200,000 then a buyer will not pay more than \$200,000 for the property being appraised. Under steady market conditions, actively listed properties similar to the property being appraised limit the most that property can sell or be appraised for, but not the least it could sell for because there is no limit as to how high a property can be listed for sale. Exceptions are distressed sellers and buyers, and rapidly appreciating housing markets – and when some sellers intentionally list properties for under-market values to generate interest and competing bids for a property.

## Incurable External Obsolescence

Incurable external obsolescence refers to a type of depreciation or reduction in the value of a property or asset due to factors that are beyond the control of the owner and cannot be economically rectified. It typically refers to a decline in the value of a property caused by external factors that cannot be easily changed or improved upon.

For example, if a property is located in an area with high crime rates, environmental pollution, or unfavorable zoning regulations, it may experience a decrease in value that cannot be easily reversed. These external factors make the property less desirable or functional, leading to a reduction in its market value.

Incurable external obsolescence can also be caused by factors such as changes in the surrounding neighborhood, new transportation routes that bypass the property, or the emergence of competing properties with better amenities or features.

## Condition and Quality Guidelines

Quality describes the degree of worth and the character of the workmanship and materials used, in both the structure and its features such as countertops and flooring. Condition describes the degree of defects or physical deterioration present, also in both the structure and its features. I rate the quality and condition of the subject property and the comparable properties according to the six-tier condition and quality guidelines set out below.

Because the subject property and the comparable properties do not have uniform quality or condition throughout, and because meaningful differences between similar properties are often finer than a single tier, quality and condition are sometimes described on a relative basis - that is, as relative references between the properties in the analysis - to accurately illustrate the differences in their quality and condition. In those cases the ratings may reflect relative differences between the properties, and/or differences in the quality and condition of individual features, rather than differences in the base structure alone.

### Quality Guidelines:

Excellent (Q1) - Typically unique, architect-designed structures built for a specific user. They feature exceptionally high-level workmanship, custom architectural elements, and top-tier imported or custom materials throughout the interior and exterior.

Very Good (Q2) - Custom-designed homes featuring high-quality finishes and craftsmanship. While they utilize high-end materials, these are typically commercially available products rather than the one-of-a-kind materials found in Excellent (Q1) homes.

Good (Q3) - Good quality construction featuring upgraded finishes, such as semi-custom kitchens, and above-standard materials. The distinction from Very Good (Q2) is that Good (Q3) selectively uses upgraded materials rather than using high-end materials consistently throughout.

Average+Good (Q4) - Standard quality construction that meets or exceeds building codes. It uses mass-produced, off-the-shelf materials with standard interior refinements, such as flat ceilings and standard floor coverings, and minimal exterior architectural enhancements. Most tract and production housing falls in this tier, including standard homes that have been attractively renovated with off-the-shelf materials.

Average (Q5) - Economy-grade materials with minimal ornamentation and basic finishes, below standard or builder-grade construction.

Fair (Q6) - Substandard construction of basic quality and lower cost, often built with simple or no plans by unskilled laborers. It may utilize the lowest quality materials, have minimal or non-existent mechanical systems, and may not be suitable for year-round occupancy.

**Condition Guidelines:**

Excellent (C1) - The property is new or nearly new, with no signs of wear and tear or deferred maintenance. All components are in perfect condition.

Very Good (C2) - The property has been recently updated or renovated to a state resembling new construction, requiring no major repairs.

Good (C3) - The property shows minimal physical depreciation from normal use. While some components may have been updated, it has not undergone a complete renovation.

Average (C4) - The property is in generally decent condition but requires minor cosmetic or functional repairs. It shows normal wear and tear, but major systems are adequately maintained.

Fair (C5) - The property requires significant repairs, and its livability may be impacted due to deferred maintenance.

Poor (C6) - The property suffers from severe structural or safety issues that require substantial repairs. If any portion of a dwelling meets this definition, affecting safety or structural integrity, the entire property must be rated Poor.